

21STCV39315 21STCV39315

County: los-angeles

Division: Civil Law and Motion

Department: 732

Hearing date: 2026-08-21

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Case Number: 21STCV39315 Hearing Date: August 21, 2026 Dept: 732

Grace Cherry v. Velur Enterprises, Inc., et al..

Friday, August 21, 2026

CASE NUMBER: 21STCV39315

OPPOSED

Defendants Velur

Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien's
Motion for Terminating Sanctions.

Facts:

This is an action for fraud and rescission of contract. The Complaint alleges as follows. Plaintiff Grace Cherry (Plaintiff) was induced to purchase several real properties from Defendants Velur Enterprises, Inc. and Velur Properties, LLC (Velur) based on representations made by Velur's agents, Defendants Marylou Matienzo and Dennis Pilien. (Complaint ¶¶ 12–13.) These representations, concerning adjacent property owners on development taking place in the area, were false. (Complaint ¶¶ 12–15.) Plaintiff relied on these representations in purchasing the properties, and would not have done so otherwise. (Complaint ¶ 16.)

Procedural History: Plaintiff filed the Complaint on October

25, 2021, alleging seven causes of action:

1.

Fraud

2.

Rescission of Contract

3.

Breach of Fiduciary Duty

4.

Professional Negligence

5.

Breach of Broker's Duties

6.

False Advertising

7.

Business & Professions Code § 17200

On March 22, 2022, this court
granted Defendants' unopposed demurrer to the Complaint without leave to amend.
An order of dismissal was entered on April 15, 2022.

On September 8, 2022, this
court granted Plaintiff's motion for relief from dismissal.

Plaintiff filed a first amended
complaint on October 10, 2022, alleging eight causes of action:

1.

Fraud

2.

Negligent Misrepresentation

3.

Rescission of Contract

4.

Breach of Fiduciary Duty

5.

Professional Negligence

6.

Breach of Broker's Duties

7.

False Advertising

8.

Business & Professions Code § 17200

This court on February 1, 2023, sustained Defendants' demurrer to the FAC as to the third and fourth causes of action, without leave to amend, and granted the motion to strike as to the second cause of action for negligent misrepresentation. The court also directed Plaintiff to add several necessary parties.

Plaintiff filed a Second

Amended Complaint on March 27, 2023, alleging five causes of action:

1.

Fraud

2.

Professional Negligence

3.

Breach of Statutory Brokers Duties

4.

False Advertising

5.

Business & Professions Code § 17200

This court on April 13, 2023,
granted in part Defendants' motion to dismiss as to the prayer for rescission
in the SAC.

Defendants Velur Enterprises,
Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien filed the
present motion for terminating sanctions on June 12, 2026.

Plaintiff filed an opposition
on July 17, 2026.

Defendants filed a reply on
July 22, 2026.

On July 29, 2026, this court
continued hearing on the present motion for terminating sanctions and for
dismissal to permit additional briefing on the factors described in CRC Rule
3.1342, subd. (e).

Defendants filed additional
briefing on August 12, 2026.

Plaintiff filed additional
briefing on August 14, 2026.

Analysis:

I.

MOTION

FOR TERMINATING SANCTIONS

The court may impose
terminating sanctions, including an order striking pleadings, an order
dismissing an action, or an order rendering judgment by default against a
party, for conduct that is a misuse of the discovery process. (Code Civ. Proc.,
§ 2023.030.) This conduct includes "[f]ailing to respond or to submit to an
authorized method of discovery," and "[d]isobeying a court order to provide
discovery." (Code Civ. Proc., § 2023.010.)

Ultimate discovery

sanctions are justified where there is a willful discovery order violation, a history of abuse, and evidence showing that less severe sanctions would not produce compliance with discovery rules.

(Van Sickle v. Gilbert (2011)

196 Cal.App.4th 1495, 1516.) Dismissal

is a drastic measure, and terminating sanctions should only be ordered when there has been previous noncompliance with a rule or order and it appears a less severe sanction would not be effective.

(Link v. Cater (1998) 60 Cal.App.4th

1315, 1326.) “[A] penalty as severe as

dismissal or default is not authorized where noncompliance with discovery is caused by an inability to comply rather than willfulness or bad faith.” (Brown v. Sup. Ct. (1986) 180 Cal.App.3d 701, 707.)

Defendants Velur

Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilién (“Defendants”) move for terminating sanctions against Plaintiff Grace Cherry, dismissal of her complaint for failure to prosecute, and for judgment on the pleadings, for the same single reason. On February 1, 2023, this court sustained Defendants’ demurrer to Plaintiff’s First Amended Complaint (“FAC”) in part upon the grounds of Plaintiff’s failure to join parties necessary for the adjudication of Plaintiff’s claim for rescission, including Odilon Aquino, Danilo S. Peralta, and Marinette C. Peterson,. (See 2/1/2023 Order.)

Moreover, although Equity Trust was directed to be joined, and later was joined, Plaintiff dismissed that entity on January 6, 2026. Despite the ensuing years, the upcoming September 29, 2026 trial date, and the looming five-year trial deadline of Code of Civil Procedure § 583.310, Plaintiff has failed to serve these parties. (Ma Decl. ¶¶ 2–10.) Defendants thus argue that terminating sanctions are warranted for failure to abide by the court’s orders, for failure to diligently prosecute this matter under Code of Civil Procedure § 583.410, and for failure to state a cause of action based on the omission of indispensable parties.

Plaintiff in opposition

argues that no service is necessary upon the identified parties, as they were only made indispensable by Plaintiff’s cause of action and prayer for restitution, the first of which was dismissed from the FAC by the same court order that directed the addition of the necessary parties on February 1, 2023, and the latter of which was dismissed from the SAC by the order of April 13,

2023. (Opposition at pp. 7–9; see 4/13/2023 Order.) Plaintiff argues that terminating sanctions are not warranted because Defendants do not present a pattern of willful misconduct such that terminating sanctions are warranted over lesser sanctions. (Opposition at pp. 9–11.) Plaintiff argues that dismissal for delay in prosecution is not appropriate because she has diligently appeared in this case and trial is fast approaching. (Opposition at pp. 11–13.) Plaintiff finally argues that no motion for judgment on the pleadings is warranted because no claim or prayer for relief is now pleaded that requires the joinder of the parties identified. (Opposition at pp. 13–14.)

Defendants in reply argue that Plaintiff's opposition was filed one day late and never served. (Young Decl. ¶ 4.)

Terminating sanctions and judgment on the pleadings are not warranted.

This is because an order of sanctions for failing to obey a court order will generally not lie when the order is invalid or inoperative. (See *People v. Sorden* (2021) 65 Cal.App.5th 582, 593 [contempt sanctions require “a valid order”].) This court on February 1, 2023, directed Plaintiff to join certain parties on the grounds that they were indispensable to any to adjudication of Plaintiff's claim and prayer for rescission. This is because “[i]n an action for rescission of a contract, all parties to the contract are indispensable to the action.” (*Holder v. Home Sav. & Loan Ass'n of Los Angeles* (1968) 267 Cal.App.2d 91, 107.)

But as Plaintiff notes in opposition, any such order to join these parties that was not obviated by the February 1, 2023 dismissal of the rescission cause of action from the FAC was mooted by the April 13, 2023 order directing the dismissal of Plaintiff's prayer for rescission from the SAC. As the court stated in its latter ruling, “[t]he addition of the new parties was required because of Plaintiff's request for a specific form of relief: rescission of the contracts to which these other people were parties,” and “[t]he failure to add these necessary parties forecloses only Plaintiffs prayer for rescission; it does not prevent Plaintiff from seeking damages from injuries suffered particularly by her.” (4/13/2023 Ruling.) There being no operative prayer for

rescission of the contract, there is no present basis to compel the joinder and service of the parties that Defendants identify, and thus no basis to sanction Plaintiff for failing to abide by a moot order. Defendants in reply offer no challenge to the reasoning of Plaintiff on this point.

But

between the striking of Plaintiff's prayer for rescission on April 13, 2023, and the filing of the present motion on June 12, 2026, more than three years have elapsed. In that span, the court has many times scheduled orders to show cause regarding the failure to serve or take the default of the parties, whom Plaintiff, regardless of the efficacy of the February 1, 2023 order, has in fact joined as Doe defendants. (See 3/27/2025 Order; 8/20/2025 Order; 10/24/2025 Order; 1/30/2026 Order; 3/2/2026 Order; 4/3/2026 Order; 6/9/2026 Order.) Plaintiff's failure to dismiss, serve, or take the default of these defendants has led to the delay of trial in this action. (See 3/27/2025 Order [vacating trial date].) The court in its order of January 30, 2026, stated that the case was "not at issue" because "[n]ot all parties have been served." (1/30/2026 Order.) Plaintiff in this time has not raised any argument concerning the necessity of serving, defaulting, or dismissing these parties, but has through February 2026 represented that she sought to serve them without success, most recently by publication (See 2/25/2026 Application for Publication), An order authorizing such service was made (See 2/27/2026 Order), but no such service has evidently been accomplished. It appears that Plaintiff in this time made no argument concerning the mootness of the February 1, 2023 order, until filing the opposition to the present motion on July 17, 2026.

The

above proceedings naturally raise a question of delay in prosecution of this action under Code of Civil Procedure § 583.410. Under that statute, "The court may in its discretion dismiss an action for delay in prosecution pursuant to this article on its own motion or on motion of the defendant if to do so appears to the court appropriate under the circumstances of the case." (Code Civ. Proc. § 583.410., subd. (a).) Dismissal may be granted upon the following conditions:

(1) Service is not made within two years after the action is commenced against the defendant.

(2) The action is not brought to trial

within the following times:

(A) Three years after the action is commenced against the defendant unless otherwise prescribed by rule under subparagraph (B).

(B) Two years after the action is commenced against the defendant if the Judicial Council by rule adopted pursuant to Section 583.410 so prescribes for the court because of the condition of the court calendar or for other reasons affecting the conduct of litigation or the administration of justice.

(Code Civ. Proc. § 583.420, subd. (a)(2).) The California Rules of Court ("CRC") prescribe consideration of the following non-exclusive factors in considering dismissal under the above statute:

In ruling on the motion, the court must consider all matters relevant to a proper determination of the motion, including:

(1) The court's file in the case and the declarations and supporting data submitted by the parties and, where applicable, the availability of the moving party and other essential parties for service of process;

(2) The diligence in seeking to effect service of process;

(3) The extent to which the parties engaged in any settlement negotiations or discussions;

(4) The diligence of the parties in pursuing discovery or other pretrial proceedings, including any extraordinary relief sought by either party;

(5) The nature and complexity of the case;

(6) The law applicable to the case, including the pendency of other litigation under a common set of facts or

determinative of the legal or factual issues in the case;

(7) The nature of any extensions of time
or other delay attributable to either party;

(8) The condition of the court's calendar
and the availability of an earlier trial date if the matter was ready for
trial;

(9) Whether the interests of justice are
best served by dismissal or trial of the case; and

(10) Any other fact or circumstance
relevant to a fair determination of the issue.

The court must be guided by the policies
set forth in Code of Civil Procedure section 583.130.[1]

(CRC
Rule 3.1342, subd. (e).)

From the above account of
the facts, in relation to the above factors,
dismissal is properly entered as to Plaintiff's claims against those
parties ordered to be joined on February 1, 2023, i.e. Eric Gene Goduco, Ma
Peciosa Goduco, Odilon Aquino, Marinette C. Peterson, and Danilo S. Peralta.
These parties were added as defendants to this action based on their essential
connection to the rescission cause of action and prayer for relief, which have
long been dismissed. Plaintiff in that time has failed to serve Odilon Aquino,
Danilo S. Peralta, and Marinette C. Peterson, has already dismissed Equity
Trust, and has failed to take the default of the remainder. The sole claim for
which these parties were ordered joined has been dismissed, Plaintiff has
failed to serve all parties for whom adjudication of that claim would be
necessary, and Plaintiff has no evident desire to prosecute any claim against
these parties. Thus dismissal of Plaintiff's claims in relation to them is
within the court's discretion.

In the court's July 29,
2026 order, it continued hearing on the present motion to permit additional
briefing as to whether dismissal was proper as to the moving defendants under

the above factors. The parties have filed supplemental briefing answering the courts concerns, and they have shown that dismissal is proper under Code of Civil Procedure § 583.420 and CRC Rule 3.1342.

[2]

Plaintiff filed this action on October 25, 2021. Trial has been continuously delayed in this matter, and is now set for September 29, 2026, pressing against the five-year deadline of Code of Civil Procedure § 583.310. It is Plaintiff's burden to justify this delay. "Plaintiff has the burden of showing that delay in prosecution was justified or excusable. Where the plaintiff fails to make a sufficient showing of excusable delay, the trial court does not abuse its discretion in granting the defendant's motion to dismiss. The policy of disposing of litigation on the merits does not prevail unless the plaintiff makes some showing of excusable delay." (*Salinas v. Atchison, Topeka & Santa Fe Ry. Co.* (1992) 5 Cal.App.4th 1, 17.)

This delay was not occasioned by the complexity of the case or protracted discovery. No stays or concurrent proceedings delayed the action. The parties agree in their supplemental materials that Plaintiff took no discovery in this matter until she served her first written discovery on July 28, 2026, the day before the original hearing date on this motion. (Supp. Plaintiff Brief at p. 6.) No depositions have been taken or noticed. (*Ibid.*; See *Salinas*, *supra* 5 Cal.App.4th at p. 12 ["While plaintiff had conducted some discovery, it was hardly completed at the time of the hearing of the motion to advance, a mere 42 days before the running of the 5-year statute; while discovery is not the only indicia of diligence, it is a valid one that the court appropriately considered."].)

Nor is the delay attributable to the parties' informal attempts at dispute resolution. Plaintiff acknowledges that she made no settlement overtures to Defendant during the pendency of this case. (Supp. Plaintiff Brief at p. 6; Supp. Defendant Brief at p. 10.)

Plaintiff argues that the cause of this delay was the succession of OSCs regarding her service of the Doe defendants, which service was rendered unnecessary by the striking of her prayer for rescission. (Supp. Plaintiff Brief at pp. 3–4.) Plaintiff is mistaken.

The service of these defendants was rendered necessary by their joinder as parties to the action. It is true enough that Plaintiff joined these parties pursuant to the court order of February 1, 2023, which required their addition pursuant to Plaintiff's prayer for rescission of a contract to which they were parties. But after Plaintiff added these defendants, Plaintiff's prayer for rescission was stricken. (See 4/13/2023 Order.) Plaintiff thereafter did not dismiss these defendants; did not complete service upon them; did not take the defaults of those that had been served; and made no argument to the court concerning the necessity of their joinder until she filed her opposition to the present motion on July 17, 2026. This long period of delay, in which Plaintiff made no effort to advance her case save to oppose Defendants' motions to dismiss, is properly attributable to Plaintiff, and Plaintiff's excuse therefore is unsatisfactory.

The interests of justice

favor dismissal here. The trial presently scheduled for September 2026 follows not merely long years of delay in litigation, but long delays in even filing the action. Defendants' initial demurrer to the original Complaint was sustained on statute of limitations grounds, based on judicially noticeable grant deeds indicating that the land-sale transactions for which Plaintiff here seeks relief took place from 2011 through 2013, meaning that the subject of the present dispute was long time-barred under ordinary application limitations rules when Plaintiff filed the complaint in October 2021. (See 3/22/2022 Ruling.) That demurrer was unopposed, sustained with prejudice, and then vacated pursuant to Plaintiff's motion for relief based on attorney fault, granted on September 8, 2022. A subsequent demurrer on the same grounds was only overruled based on Plaintiffs' pleading of facts adequate to avail herself of the delayed discovery rule. (See 2/1/2023 Ruling.) Plaintiff's claims in the present action would have required inquiry into matters that were already a decade old when the action was brought, and thus ought to have been prosecuted with diligence to mitigate further erosion of any evidentiary basis for a merits determination. But Plaintiff's prosecution has been dilatory, not diligent, ensuring the relative minimum evidentiary basis for the claims asserted.

For the above reasons, dismissal is warranted. The motion to dismiss is therefore GRANTED, and Plaintiff's Second Amended Complaint is ordered dismissed pursuant to Code of Civil Procedure §§ 583.410–583.430.

Superior Court of California

County of Los Angeles

Department 732

GRACE CHERRY.

Plaintiff,

v.

VELUR ENTERPRISES, INC., et al.,

Defendants.

Case No.:

21STCV39315

Hearing Date: August 21, 2026

[TENTATIVE] RULING RE:

Defendants Velur Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien's Motion for Terminating Sanctions.

Defendants Velur Enterprises, Inc. Velur Properties, LLC, Marylou Matienzo, and Dennis Pilien's Motion for Terminating Sanctions is GRANTED, and Plaintiff's Second Amended Complaint is ordered dismissed pursuant to Code of Civil Procedure §§ 583.410–583.430.

Defendants to provide notice.

Dated: August 21, 2026

Hon.

Richard S. Kemalyan

Judge
of the Superior Court

[1]

“It is the policy of the state that a plaintiff shall proceed with reasonable diligence in the prosecution of an action but that all parties shall cooperate in bringing the action to trial or other disposition. Except as otherwise provided by statute or by rule of court adopted pursuant to statute, the policy favoring the right of parties to make stipulations in their own interests and the policy favoring trial or other disposition of an action on the merits are generally to be preferred over the policy that requires dismissal for failure to proceed with reasonable diligence in the prosecution of an action in construing the provisions of this chapter.” (Code Civ. Proc. § 583.130.)

[2]

Between this court's order requesting additional briefing on July 29, 2026, and the filing of that briefing, Plaintiff filed a substitution of attorney form indicating the replacement of attorney Michael Meyer, of the Russell Law Group, with one Michael Mallery. (8/10/2026 Substitution of Attorney.) But the subsequent additional briefing provided for Plaintiff is filed by a different attorney — Robert Zwierlein, still of the Russell Law Group. Defendants accordingly object to the supplemental briefing, as not being filed by Plaintiff's counsel of record. But Mallery, Plaintiff's new counsel, on the substitution of counsel form lists his firm and address as also Russell Law Group. (8/10/2026 Substitution of Attorney.) If this is accurate, then no objection is proper. “[W]hen a law firm name is printed on the first page, in addition to an individual attorney's name and State Bar number, the court will then permit any attorney from that firm (who is a California State Bar member) to appear for the named client without the need to file a form of association or substitution of attorneys.” (Ellis Law Group, LLP v. Nevada City Sugar Loaf Properties, LLC (2014) 230 Cal.App.4th 244, 258.) But there is reason to believe that Mallery is not of the Russell Law Group, first because no substitution would have been necessary to permit him to appear if he belonged to the that firm, and secondly, because Mallery's state bar profile also lists his address and firm — neither of which are for the Russell Law Group. If Defendants' objection is sustained, then the motion to dismiss shall be granted based on Plaintiff's failure to satisfy her burden to make some showing of excusable delay. (See *Salinas v. Atchison, Topeka & Santa Fe Ry. Co.* (1992) 5 Cal.App.4th 1, 17.)